

D366

Financial Statement Analysis

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

An analyst sees that a grocery chain's current ratio is 0.8, while the typical manufacturer she covers has 2.0. The chain has 900 stores and a popular loyalty app. What is the best conclusion?

- A. The loyalty app offsets its low liquidity.
- B. No conclusion yet; compare it with grocery peers and the chain's own trend.
- C. The chain is healthier than the manufacturer, because a lower ratio is better.
- D. The chain is near bankruptcy, because any ratio below 1.0 is a failure.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A company has cash of \$50,000, receivables of \$150,000, inventory of \$300,000 and prepaid expenses of \$20,000. Current liabilities are \$250,000. The company's headquarters is in Phoenix. What is the quick ratio?

- A. 0.2
- B. 2.08
- C. 0.8
- D. 2.0

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

A firm's current ratio is 2.5, but its quick ratio is 0.6. What does this most likely indicate?

- A. It will certainly default this year.
- B. It holds a lot of cash.
- C. It has too much long-term debt.
- D. Most current assets are tied up in inventory, so liquidity depends on selling it.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A firm has EBIT of \$6 million and interest expense of \$1.5 million. Total debt is \$20 million and equity is \$25 million. Its sales grew 10%, and its CEO was named to a trade association board. What is its times interest earned ratio?

- A. 3.0×
- B. 0.8
- C. 4.0×
- D. 0.25

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

Company Q reported net income of \$50 million in each of three straight years, but cash from operations was \$12 million, \$8 million and \$5 million, while receivables tripled. It just moved into a new headquarters tower, and its CEO appears often on TV. What is the main red flag?

- A. Earnings are backed by little cash, and growing receivables suggest low earnings quality.
- B. The new tower shows capital spending is too high.
- C. None; steady net income proves quality.
- D. Low cash from operations means depreciation is too low.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

Which pattern points to high earnings quality?

- A. Frequent one-time gains lifting net income.
- B. Receivables growing much faster than sales.
- C. Net income consistently well above cash from operations.
- D. Cash from operations at or above net income, with receivables growing in line with sales.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A distributor had annual credit sales of \$7.3 million and average accounts receivable of \$900,000. Its terms are net 30, and it added two sales reps this year. Using a 365-day year, what are days sales outstanding?

- A. 45 days
- B. 30 days
- C. About 2,960 days
- D. About 8.1

Target word _____	The one fact that decides _____	Answer _____	☐ sure ☐ unsure ☐ guess
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8.

An analyst wants to compare the cost structures of a \$40 billion retailer and a \$2 billion retailer. The larger one is listed in New York and the smaller one in Toronto. Which technique fits best?

- A. Common-size analysis, stating each line as a percent of sales.
- B. Convert currencies first, since listing location decides comparability.
- C. Horizontal (trend) analysis.
- D. Compare the dollar amounts directly.

Target word _____	The one fact that decides _____	Answer _____	☐ sure ☐ unsure ☐ guess
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9. [TRANSFER — reversed stem / different variable]

Revenue was \$500,000 in 2023 and \$620,000 in 2024. In horizontal analysis, what is the change?

- A. \$120,000
- B. 124%
- C. 19.4% increase
- D. 24% increase

Target word _____	The one fact that decides _____	Answer _____	☐ sure ☐ unsure ☐ guess
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10.

A private firm earned \$4 million with 2 million shares outstanding. Comparable public peers trade at 15 times earnings. The firm's founder is a former athlete. What is the estimated value per share?

- A.** \$2
- B.** \$7.50
- C.** \$30
- D.** \$60 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A stock sells for \$48, and its EPS is \$3. Peers trade at 12 times earnings. What does the multiple suggest?

- A.** A higher P/E always means a better company.
- B.** It trades at 16x, a premium to peers; expensive unless faster growth justifies it.
- C.** It trades at 16x, so it is cheap.
- D.** It trades at 4x, so it is undervalued.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A company reports net income of \$18 million, cash from operations of \$25 million and capital expenditures of \$10 million. It paid \$4 million in dividends and has 1,200 employees. What is its free cash flow?

- A.** \$35 million
- B.** \$15 million
- C.** \$11 million
- D.** \$8 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

An analyst sees that a grocery chain's current ratio is 0.8, while the typical manufacturer she covers has 2.0. ~~The chain has 900 stores and a popular loyalty app.~~ What is the best conclusion?

Target word: how to judge the ratio **Decides:** The benchmark comes from a different industry.

A	Camouflage	The app does not change the liquidity reading.
B	Correct	Grocers turn inventory fast and often run low current ratios.
C	Inverted operation	Lower liquidity is not automatically better.
D	Absolute language	No single cutoff fits every industry.

2. Answer C Concept 2

A company has cash of \$50,000, receivables of \$150,000, inventory of \$300,000 and prepaid expenses of \$20,000. Current liabilities are \$250,000. ~~The company's headquarters is in Phoenix.~~ What is the quick ratio?

Target word: quick ratio **Decides:** Quick assets = cash + receivables = \$200,000.

A	Dropped element	Cash ratio; leaves out receivables.
B	Confusion set	The current ratio ($\$520,000 \div \$250,000$).
C	Correct	$\$200,000 \div \$250,000$.
D	Adjacent category	Keeps inventory in and drops only prepaids.

3. Answer D Concept 2 · transfer

A firm's current ratio is 2.5, but its quick ratio is 0.6. What does this most likely indicate?

Target word: read the gap **Decides:** The difference between the ratios is mostly inventory.

A	Absolute language	A weak quick ratio is a warning, not a certainty.
B	Inverted operation	Cash would raise the quick ratio.
C	Adjacent category	Neither ratio measures long-term debt.
D	Correct	A large gap between the ratios points to inventory.

4. Answer C Concept 3

A firm has EBIT of \$6 million and interest expense of \$1.5 million. Total debt is \$20 million and equity is \$25 million. ~~Its sales grew 10%, and its CEO was named to a trade association board.~~ What is its times interest earned ratio?

Target word: TIE **Decides:** $\text{EBIT} \div \text{interest}$.

A	Adjacent category	Subtracts interest from EBIT first.
B	Confusion set	Debt-to-equity, a leverage ratio.
C	Correct	$\$6\text{M} \div \1.5M .
D	Inverted operation	$\text{Interest} \div \text{EBIT}$.

5. Answer A Concept 4

Company Q reported net income of \$50 million in each of three straight years, but cash from operations was \$12 million, \$8 million and \$5 million, while receivables tripled. ~~It just moved into a new headquarters tower, and its CEO appears often on TV.~~ What is the main red flag?

Target word: earnings quality issue **Decides:** Income is not turning into cash; receivables are swelling.

A	Correct	A widening NI-CFO gap driven by accruals is a warning sign.
B	Camouflage	Capex is investing cash flow and does not explain low CFO.
C	Absolute language	Steady income can be managed through accruals.
D	Confusion set	The gap comes from receivables, not depreciation.

6. Answer D Concept 4 • transfer

Which pattern points to high earnings quality?

Target word: pick the high-quality signal **Decides:** Cash flow supports reported income.

A	Adjacent category	Nonrecurring items lower quality.
B	Confusion set	Signals aggressive revenue recognition.
C	Inverted operation	That is the low-quality pattern.
D	Correct	Income is converting to cash.

7. Answer A Concept 5

A distributor had annual credit sales of \$7.3 million and average accounts receivable of \$900,000. Its terms are net 30, ~~and it added two sales reps this year.~~ Using a 365-day year, what are days sales outstanding?

Target word: DSO **Decides:** Daily sales = $\$7.3\text{M} \div 365 = \$20,000$.

A	Correct	$\$900,000 \div \$20,000$.
B	Wrong stem number	The credit terms, not actual collection time.
C	Inverted operation	Multiplies turnover by 365 instead of dividing.
D	Adjacent category	Receivables turnover (times per year), not days.

8. Answer A Concept 6

An analyst wants to compare the cost structures of a \$40 billion retailer and a \$2 billion retailer. ~~The larger one is listed in New York and the smaller one in Toronto.~~ Which technique fits best?

Target word: technique **Decides:** Firms of very different size.

A	Correct	Removes the size difference.
B	Camouflage	Listing venue does not solve the size problem.
C	Confusion set	Tracks change over time within one firm.
D	Dropped element	Ignores scale.

9. Answer D Concept 6 · transfer

Revenue was \$500,000 in 2023 and \$620,000 in 2024. In horizontal analysis, what is the change?

Target word: percent change **Decides:** Change ÷ base-year amount.

A	Adjacent category	Dollar change, not percent.
B	Confusion set	A trend index value, not the percent change.
C	Inverted operation	Divides by the later year.
D	Correct	\$120,000 ÷ \$500,000.

10. Answer C Concept 7

A private firm earned \$4 million with 2 million shares outstanding. Comparable public peers trade at 15 times earnings. ~~The firm's founder is a former athlete.~~ What is the estimated value per share?

Target word: value per share **Decides:** EPS = \$2.

A	Wrong stem number	EPS, not price.
B	Inverted operation	Divides the multiple by EPS.
C	Correct	\$2 × 15.
D	Adjacent category	Total equity value, not per share.

11. Answer B Concept 7 · transfer

A stock sells for \$48, and its EPS is \$3. Peers trade at 12 times earnings. What does the multiple suggest?

Target word: compare P/E to peers **Decides:** P/E = 16×

A	Absolute language	It can mean overvaluation.
B	Correct	\$48 ÷ \$3 = 16, above 12.
C	Inverted operation	A higher multiple means a richer price.
D	Wrong stem number	Divides price by the peer multiple.

12. Answer B Concept 8

A company reports net income of \$18 million, cash from operations of \$25 million and capital expenditures of \$10 million. ~~It paid \$4 million in dividends and has 1,200 employees.~~ What is its free cash flow?

Target word: FCF **Decides:** CFO – capex.

A	Inverted operation	Adds capex.
B	Correct	\$25M – \$10M.
C	Camouflage	Also subtracts dividends, a financing choice.
D	Confusion set	Starts from net income.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	2	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	7	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Ratios need context	Judge a ratio against industry peers and the firm's own trend, and read ratios together, not alone.	Applying one universal benchmark to every industry.	A ratio compared with a firm in a different industry.
2	Current vs. quick ratio	Current ratio = current assets ÷ current liabilities; quick ratio removes inventory and prepaid expenses.	Reporting the current ratio when the quick ratio is asked.	Inventory and prepaids listed separately.
3	Coverage and leverage	Times interest earned = EBIT ÷ interest expense; debt-to-equity = debt ÷ equity.	Mixing coverage with leverage or subtracting interest first.	EBIT, interest and debt and equity balances together.
4	Earnings quality	High-quality earnings are backed by operating cash flow; net income far above CFO with swelling receivables is a red flag.	Trusting steady net income by itself.	Net income and cash from operations moving apart.
5	Days sales outstanding	DSO = accounts receivable ÷ (credit sales ÷ 365).	Reporting receivables turnover or the credit terms.	Credit sales, receivables and stated terms.
6	Common-size vs. horizontal analysis	Common-size (vertical) states each line as a percent of a base such as sales, to compare firms of different size; horizontal tracks change over time.	Using trend analysis to compare different-size firms.	Two firms of very different size, or two years of one firm.
7	Relative valuation with P/E	Value per share = EPS × peer P/E; a P/E above peers signals a premium that growth must justify.	Multiplying total earnings by the multiple and calling it per-share value.	Earnings, share count and a peer multiple.
8	Free cash flow	Free cash flow = cash from operations – capital expenditures.	Starting from net income or subtracting dividends.	Net income, CFO, capex and dividends all given.

Course scope (public description): Financial Statement Analysis discusses the concepts and provides tools for financial analysts to evaluate the financial elements of the firm as well as external factors to ultimately arrive at a valuation. You will learn a process to analyze data and the concepts where you can determine the quality of that data. This process provides a structure where ratios and company results are not looked at individually but as a whole in determining the worth of an enterprise, leading to an analysis-based valuation of the firm.